

Marvell Technology, Inc.

MRVL NASDAQ

Buy	\$241.45 ▼ 1.49%	12M Price Target \$285.00	52-Week Range \$61.44 – \$329.88	Market Cap \$216.99B
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MRVL: Solid Earnings, But Expectations Bar Just Got Higher

WHAT HAPPENED

- MRVL reported strong earnings AND guided higher — but the stock still slid after hours. Classic "buy the rumor, sell the news" — expectations were so hot going in (stock had run from \$61 to \$329 in a year) that "solid beat" wasn't enough. The market wanted a blowout.
- Options flow is actually bullish (put/call at 0.61, meaning way more call bets than puts), but big block puts at \$230 tell me some funds are buying insurance while staying long — hedging, not fleeing.

WHY IT MATTERS

This is a "quality of the reaction" moment — the fact that MRVL sold off on good news tells you the stock is priced for perfection, but the fundamentals underneath are still intact. That's actually healthy: it flushes out weak hands and resets the bar. The bigger tell is that Tech ETFs ripped +3.16% today while MRVL bled — meaning money is chasing AI winners like NVDA but pausing on MRVL specifically until the next catalyst (likely more custom silicon wins from Amazon or Microsoft). Watch the \$230 level — if it holds, this is just a pause before the next leg; if it breaks, we're looking at a deeper unwind toward \$215.

POLICY & POLITICAL WATCH

The CHIPS Act reauthorization debate and expanded semiconductor tax credits are the big tailwind — MRVL benefits directly from domestic fab incentives since they're a fabless designer partnering with TSMC's Arizona facility. On the flip side, watch the Commerce Department's ongoing tightening of AI chip export controls to China — MRVL has meaningful China exposure (~15% of revenue historically), so any escalation is a direct headwind, but it also locks Chinese competitors out of the US hyperscaler market where MRVL dominates. Net-net, the regulatory environment is a moat-builder for them, not a threat.

IS IT EXPENSIVE?

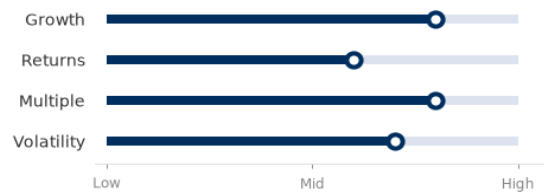
At ~\$217B market cap on forward earnings, you're paying roughly \$85 for every \$1 of next year's profit — that's expensive by any traditional measure, but AI infrastructure names trade like this because growth is compounding at 40%+. Compared to NVDA (~35x forward) MRVL looks pricier on earnings, but cheaper on revenue growth relative to its custom ASIC pipeline. The valuation is justified ONLY if hyperscaler capex keeps climbing — the moment that slows, this multiple gets cut in half fast.

WHAT COULD GO WRONG

Key Data

Price (USD)	\$241.45
12M Price Target	\$285.00
Upside / (Downside)	+18.0%
Market Cap	\$216.99B
FY2027E Revenue	\$8,200M
FY2028E Revenue	\$10,500M
FY2027E EPS	\$2.85
FY2028E EPS	\$4.10
Fwd P/E	84.7x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$265.00	\$245.00	\$215.00
6 Months	\$300.00	\$265.00	\$200.00
1 Year	\$340.00	\$285.00	\$190.00
2 Years	\$420.00	\$340.00	\$210.00
5 Years	\$600.00	\$450.00	\$250.00
10 Years	\$900.00	\$650.00	\$300.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech (+3.16% today) is on fire — AI infrastructure spending is the market's favorite trade, and dovish Fed expectations from Jackson Hole are fueling the rotation into growth.

COOLING OFF: Energy, Utilities, Industrials all red — defensive and cyclical money is rotating out as risk-on sentiment takes over.

ROTATION WATCH: Money is flowing hard into AI semis and away from anything rate-sensitive or defensive — the market is betting on rate cuts + continued capex boom, which is the perfect cocktail for MRVL's sector.

RELATED PLAY: If custom AI silicon keeps winning, watch AVGO (Broadcom) — same custom ASIC playbook — and data center power/cooling names like VRT (Vertiv), which benefit from every chip MRVL ships.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Jumped today, still the AI infrastructure king — anytime Nvidia rips, MRVL usually follows within days.
- AVGO (Broadcom): Direct custom silicon competitor benefiting from the same hyperscaler capex wave.

MRVL CONTEXT: MRVL is LAGGING today — Tech ETF up 3%, MRVL down 1.5%. That's a red flag short-term but a green flag if you're looking to add: the sector is validating the AI thesis, MRVL just had its "expectations reset" moment, and mean reversion typically follows.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — Cautiously bullish. The story is intact, but the post-earnings dip tells me to be patient on entry rather than chase.

POSITION SIZE: 3-5% of portfolio — real upside but real volatility (52-week range is \$61 to \$329, that's insane).

ENTRY POINTS: \$225-235 on pullbacks. If it breaks \$220, wait for it to stabilize before adding — don't catch a falling knife.

TIME HORIZON: 12-24 months. The catalyst I'm waiting for is the next custom silicon contract announcement plus confirmation that hyperscaler capex accelerates into 2027.

WHEN TO BAIL: If they lose the Amazon Trainium relationship, if data center revenue growth drops below 40% YoY, or if the stock breaks \$200 on heavy volume.

HEDGING: Buy some cheap protective puts on the SMH semiconductor ETF — that way if the whole sector rolls over, you're covered without giving up your MRVL upside.